

US Stock Market Analysis: Week of October 27-31, 2025 and Outlook for November 3-7, 2025

The Federal Reserve delivered its anticipated 25 basis point rate cut on October 29 while government shutdown delays masked critical economic data, and mega-cap technology earnings revealed diverging fortunes as markets navigated between AI investment concerns and strong operational execution. (schwab)

(FinancialContent) The week demonstrated that while corporate fundamentals remained resilient with 87% of reporting S&P 500 companies beating earnings expectations, (FactSet) uncertainty around the Fed's December decision path and ongoing geopolitical tensions created significant volatility. (CNN +3) Markets closed the week at fresh all-time highs of 6,806 on the S&P 500, but underlying technical indicators showed bearish divergences suggesting caution ahead. (schwab +2) The confluence of the 30-day government shutdown eliminating GDP and PCE data releases, Trump-Xi tensions over rare earth exports temporarily de-escalating, and mixed Big Tech earnings reactions underscored a market walking a tightrope between exceptional AI-driven growth narratives and valuation concerns at 22.7x forward earnings. (Tax Foundation +2)

THIS WEEK RECAP: October 27-31, 2025

Consumer confidence and Fed policy signals dominated economic narrative

Consumer Confidence declined to 94.6 from an upwardly revised 95.6 in September, slightly beating the consensus forecast of 93.4 but marking continued weakness as the Expectations Index remained below the critical 80 threshold for the ninth consecutive month. (schwab) The Conference Board's Tuesday, October 28 release revealed the Present Situation Index rose 1.8 points to 129.3, suggesting current conditions remained acceptable, but the Expectations Index fell 2.9 points to 71.5, signaling growing recession concerns. Most troubling for inflation watchers, 12-month inflation expectations ticked up to 5.9% from 5.8%. Holiday spending intentions dropped sharply, with consumers expecting to spend 3.9% less on gifts and 12% less on non-gift items compared to last year.

The Federal Reserve cut its target range by 25 basis points to 3.75%-4.00% on Wednesday, October 29, (PBS) but Chair Jerome Powell's hawkish messaging sent December rate cut expectations plummeting from 90.5% to 54.7% probability. (schwab) (FinancialContent) The FOMC vote showed unusual dissent with a 10-2 split—Governor Stephen Miran preferred a 50bp cut while Kansas City Fed President Jeffrey Schmid wanted no change. The Fed simultaneously announced it would end Quantitative Tightening on December 1, 2025. (FinancialContent) Markets initially rallied before Powell's press conference reversed gains, with the Dow ending down 74.37 points at 47,632.00 while the Nasdaq managed a 0.55% gain to a record 23,958.47.

Powell's "driving in the fog" metaphor captured the Fed's predicament navigating without critical economic data due to the government shutdown. (schwab) (FinancialContent) He stated a December rate cut was "not a foregone conclusion—far from it" and noted "strongly differing views" within the committee. Powell

addressed AI bubble concerns, distinguishing current investments from the dotcom bubble: "These companies actually have earnings and stuff like that. These companies actually have business models and profits." (AOL +4) However, he raised employment concerns, noting that after adjusting for statistical overcounting, "job creation is pretty close to zero" with companies "talking about AI and what it can do" when announcing layoffs. (Fortune) (Fortune) On inflation, Powell highlighted that tariffs added an estimated 50-60 basis points to core PCE, bringing the underlying rate to approximately 2.3-2.4% excluding tariff effects.

The government shutdown entered its 30th day, eliminating the Q3 GDP advance estimate and September PCE report. (Charles Schwab) The Congressional Budget Office quantified damage in three scenarios: a 4-week shutdown would reduce Q4 2025 GDP by 1.0 percentage point with \$7 billion permanent loss; a 6-week shutdown would cut GDP by 1.5 percentage points with \$11 billion loss; an 8-week shutdown would reduce GDP by 2.0 percentage points with \$14 billion loss. Financial institutions sharply revised Fed expectations, with Goldman Sachs cutting December rate cut probability to 40% from 60%.

APEC Summit produced temporary trade truce with structural tensions unresolved

The APEC Summit in Gyeongju, South Korea produced a one-year US-China trade truce reducing overall tariffs from 57% to 47% while pausing China's rare earth export restrictions. (Congress.gov +2) President Trump and President Xi met for 1 hour 40 minutes on October 30, achieving what Trump rated "a 12 with 10 being best." (Al Jazeera) (NPR) The agreement reduced the fentanyl-related tariff from 20% to 10% and removed the threat of an additional 100% tariff scheduled for November 1. China agreed to delay export restrictions on 5 rare earth metals for one year with "routine" annual extensions expected, and committed to resume immediate U.S. soybean purchases. (Al Jazeera) (Al Jazeera)

The rare earth negotiations proved critical as China controls 90% of global rare earth processing and 93-95% of magnet manufacturing. (Al Jazeera +2) China's October announcement had targeted 12 critical metals essential for smartphones, jet planes, fighter aircraft, radar systems, missile guidance, EVs, and wind turbines. (CNN) (Al Jazeera) Expert reactions revealed skepticism about deal sustainability despite positive market sentiment, with Deborah Elms characterizing it as a "partial freeze" rather than comprehensive resolution. (Al Jazeera) (Al Jazeera)

Trump secured landmark bilateral deals with South Korea (\$350 billion investment) and Japan (\$550 billion investment vehicle) featuring reduced tariff rates to 15% and strategic technology cooperation. South Korea committed \$200 billion in direct cash investment plus \$150 billion in shipbuilding cooperation. (KED Global +2) Japan's deal included critical minerals agreements and a Technology Prosperity Deal covering AI, 6G, quantum computing, and fusion energy. (The White House) (The White House)

Big Tech earnings revealed stark divergence between AI spending concerns and execution

Meta plunged 11% after hours despite exceptional operational results with revenue of \$51.24 billion (up 26% YoY) due to a \$16 billion one-time tax charge and increased CapEx guidance. (CNN +2) Advertising

revenue reached \$50.08 billion versus \$48.5 billion expected. However, 2025 CapEx guidance was raised to \$70-72 billion with 2026 expected "notably larger," while total 2025 expenses rose to \$116-118 billion. Reality Labs lost \$4.4 billion on \$470 million in sales. (CNBC)

Alphabet delivered the only unambiguous Big Tech victory, crossing \$100 billion in quarterly revenue for the first time with \$102.35 billion and crushing EPS expectations with \$3.10 versus \$2.33 anticipated.

(CNN +3) Google Cloud reached \$15.15 billion (up 34-35% YoY) with a \$155 billion backlog surging 46% sequentially and 82% YoY. Cloud AI revenue grew over 200% YoY. (CNBC) Cloud signed "more deals over \$1 billion through Q3 this year than in previous two years combined." (The Motley Fool) Stock rose 5% after hours. Raised 2025 CapEx to \$91-93 billion from \$85 billion. (CNBC)

Microsoft beat with revenue of \$77.67 billion and EPS of \$3.72 but traded down on concerns about AI capacity constraints extending "beyond June." (CNN +4) Microsoft Cloud revenue exceeded \$42 billion (up 20-22% in constant currency). (Microsoft) Over 15 million people now use GitHub Copilot (4x YoY growth). (CNBC) CFO Amy Hood noted capacity constraints would persist "beyond June" and guided Azure growth to 34-35% in constant currency.

Amazon delivered a blowout report with AWS reaccelerating to 20.2% growth—the fastest since 2022—sending the stock surging 10-13%. (CNN +3) AWS revenue reached \$33.0 billion with a \$200 billion backlog. Advertising revenue of \$17.7 billion grew 22-24% YoY. Trainium 2 chip revenue grew 150% QoQ. Q4 revenue guidance of \$206-213 billion beat expectations. Raised 2025 CapEx to approximately \$125 billion from \$118 billion. (CNBC) (Benzinga)

Apple's results showed supply-constrained iPhone revenue of \$49.02 billion missing the \$50.19 billion estimate, but record Services performance of \$28.75 billion with stock falling 2%. (CNN +3) CEO Tim Cook characterized iPhone 17 demand as "off the chart" with multiple models supply constrained. Q1 holiday quarter guidance projected 10-12% revenue growth with iPhone revenue expected to grow double digits. (MacRumors) The company absorbed \$1.1 billion in tariff costs without raising prices. (CNBC)

Earnings across sectors showed resilience with notable divergences

Celestica surged 10% initially after crushing estimates with Q3 revenue of \$3.19 billion (up 28% YoY) beating by \$150 million and raising 2026 guidance to \$16 billion revenue (+31%). (GuruFocus) (globenewswire) The AI data center infrastructure provider showed adjusted operating margin hitting a record 7.6%. CEO indicated "demand dynamics continuing into 2027." (globenewswire)

SoFi delivered its eighth consecutive quarter of GAAP profitability with record adjusted net revenue of \$950 million (up 38% YoY) and added a record 905,000 new members. (Investing.com Canada +2) Total members reached 12.6 million (up 35% YoY) with adjusted EBITDA of \$277 million (approximately 50% YoY growth). (Investing.com Canada) Raised full-year guidance significantly across all metrics. (Business Wire) (investing)

Reddit jumped 13%+ after revenue of \$585 million (up 68% YoY) beat by \$36 million with EPS of \$0.80 crushing the \$0.52 estimate by 55%. (The Motley Fool +3) Daily Active Uniques of 116 million surpassed expectations. Adjusted EBITDA reached \$236 million with 40% margin, exceeding the IPO target for the first time. (The Motley Fool) CEO highlighted Reddit as "number three most visited site in the U.S." (The Motley Fool) (Yahoo Finance)

Roblox plunged 15.5% despite strong engagement metrics after revenue of \$1.36 billion missed estimates by \$340 million (20%), though bookings of \$1.92 billion (up 70% YoY) significantly beat. (Variety +3) Daily Active Users hit 151.5 million (up 70% YoY), hours engaged reached 39.6 billion (up 91% YoY). (Yahoo Finance +3) Management warned margins could decline YoY in 2026 and increased CapEx by \$158 million. (Barchart)

PayPal surged 14.7% after announcing a landmark OpenAI partnership and first-ever dividend, with revenue of \$8.42 billion beating estimates. (CNN +2) UPS soared 12% after adjusted EPS of \$1.74 crushed the \$1.30 estimate as its turnaround delivered \$2.2 billion in savings. (UPS) (BitcoinEthereumNews.com) CVS beat significantly with revenue of \$102.87 billion though recorded a \$5.7 billion goodwill impairment. (Yahoo Finance +2) Starbucks fell despite turning U.S. comp sales positive, reporting its sixth straight quarter of global same-store sales declines. (CNBC) Chevron surged 3% with record production of 4.1 million barrels/day as the Hess acquisition drove growth. (Yahoo Finance) (CNBC)

Inflation analysis reveals near-term pressures offset by long-term productivity potential

Big Tech's combined 2025 CapEx exceeding \$446-450 billion represents approximately 1.8% of U.S. GDP and creates persistent near-term inflationary pressure. (FinancialContent) This drives commercial real estate and construction cost inflation, semiconductor price pressure, energy infrastructure cost increases, and wage inflation through skilled tech talent competition. Meta specifically noted AI talent compensation as the "second largest contributor to expense growth." (Yahoo Finance)

Cloud services pricing power successfully transmits infrastructure costs through B2B supply chains. AWS growth of 20.2% YoY, (CNBC) Azure growth of 34-35% YoY, and Google Cloud growth of 34-35% YoY (CNBC) with improving margins indicate successful cost pass-through that eventually cascades to consumer prices. (Benzinga) Strong advertising markets (Meta \$50B, (CNBC) Amazon \$17.7B, (CNBC) Alphabet \$66.9B) signal demand-pull inflation pressures.

However, significant disinflationary signals suggest long-term productivity gains could overwhelm near-term costs. All Big Tech companies are improving operating margins despite heavy investment. Apple absorbed \$1.1 billion in tariffs without price increases. (CNBC) Amazon's 14,000 role reductions and industry efficiency focus moderate wage pressures. AI automation reduces labor costs across customer service, content moderation, and back-office functions.

The inflation outlook suggests a transitional period: near-term inflationary (6-12 months) from peak CapEx and AI talent wars, mixed (1-3 years) as productivity gains begin materializing, and net disinflationary (3+ years) as productivity overwhelms costs. (FinancialContent) This validates Fed Chair Powell's statement that December rate cuts are "not a foregone conclusion," (Bloomberg) as near-term inflation pressure from investment booms is structural rather than transitory.

NEXT WEEK OUTLOOK: November 3-7, 2025

Economic calendar delivers critical labor market and manufacturing data

Monday, November 3 brings ISM Manufacturing PMI at 10:00 AM ET, expected around 49.0-49.5 (below the 50 expansion threshold) following September's 49.1 reading. (Forex Factory +2) U.S. manufacturing has remained in contraction for seven consecutive months facing tariff uncertainty and cautious business sentiment. (Charles Schwab +2) The ISM Prices Paid Index will provide inflation signals while New Orders serves as a leading demand indicator. (Interactive Brokers) Strong PMI above forecast would be bullish for USD and stocks but raise Fed easing concerns; weak PMI would increase growth worries but support continued rate cuts. (A1 Trading)

Tuesday, November 4 features JOLTS Job Openings for September (10:00 AM ET) with consensus expecting 7.2 million openings unchanged from August. (spgglobal) (S&P Global) The openings-to-unemployed ratio stands at 1.0, (INDmoney) down from the pandemic peak of 12 million and approaching pre-pandemic normal of 6-7 million. (Charles Schwab) JOLTS carries exceptional importance as the Federal Reserve closely monitors it for wage pressure signals. The timing is crucial as data will inform the November 6 FOMC meeting.

Expected scenarios: higher openings above 7.4 million would be USD bullish but mixed for stocks with growth positives offset by inflation concerns; in-line 7.1-7.3 million would confirm gradual cooling supporting current Fed stance; lower below 7.0 million would signal weakening labor demand, initially negative for stocks but potentially positive if increasing Fed easing expectations. September's shocking ADP report showed -32,000 jobs (first negative since March 2023), raising concerns about labor market deterioration.

Wednesday, November 5 delivers multiple releases: ADP Nonfarm Employment for October (8:15 AM) forecast around 50,000 jobs following September's -32,000, ISM Non-Manufacturing PMI (10:00 AM) forecast around 51.5 following September's 50.0 breakeven reading, and S&P Global Services PMI Final (9:45 AM). (spgglobal) (S&P Global) Services represent the large majority of U.S. GDP making this more indicative than manufacturing. (Charles Schwab) (Highstrike) September showed Business Activity at 49.9 (contraction for first time since May 2020) with Prices Paid at elevated 69.4, raising stagflation concerns. (Charles Schwab)

Thursday, November 7 brings Initial Jobless Claims and potentially Q3 GDP Advanced Reading if the shutdown ends, with economists expecting approximately 2.8% growth versus Q2's 3.8%. (France 24)

(Fox Business) Friday, November 8 could deliver the delayed PCE Prices (Core) report—the Fed's preferred

inflation gauge—along with Personal Income/Spending (FinancialContent) (NerdWallet) and Employment Cost Index if the government reopens.

Inflation-related earnings provide consumer spending and pricing power insights

Axon Enterprise reports Tuesday after close with consensus expecting \$1.45-\$1.52 EPS and \$704.84 million revenue (approximately 29% growth). (Investing.com +3) Stock has surged 77.9% YTD versus S&P 500's 24.3% after beating in all recent quarters. Q2 crushed with \$669M revenue (+33% YoY) and \$2.12 EPS. (Investing.com) (TipRanks) Key metrics include bookings growth targeting high 30%, AI Era Bundle adoption (\$150M closed in Q2), Net Revenue Retention above 120% for 20 consecutive quarters, and Software & Services growth (39% to \$292M in Q2). Recent developments include largest deals in company history, Prepared acquisition announced September 2025, and Axon Body Workforce Mini launch. Company demonstrates inflation resistance through premium pricing power for mission-critical products, resilient government budgets, and 14 consecutive quarters of 25%+ growth. (Investing.com)

McDonald's reports Wednesday before open with consensus expecting \$3.35-\$3.37 EPS and \$7.07-\$7.10 billion revenue, though estimates revised down 0.3% over 30 days. (Yahoo Finance +2) Sentiment is mixed with Zacks Rank #4 (Sell) but analysts' consensus "Moderate Buy." (Ainvest) (Barchart) McDonald's stands as a key inflation indicator with prices increased approximately 100% since 2014 versus 33% general inflation. (Visual Capitalist +2) Big Mac prices rose from \$4.39 (2019) to \$5.29 (2024), or 21%. (Visual Capitalist) (McDonald's Corporation) Strategic response includes expanded McValue platform in 2025 with \$5 meal deals and "buy one, add one for \$1" offers. (Yahoo Finance +2) U.S. same-store sales are critical: Q1 saw -3.6% decline but Q2 recovered to +2.5%. (barchart +2) October E. coli outbreak linked to onions affected traffic with company pledging \$100M+ franchisee support. (barchart) (CBS8) Plans 2,200 new restaurants in 2025 with \$3.2B capex.

Airbnb reports Thursday after close with consensus expecting \$2.29-\$2.31 EPS and \$4.08 billion revenue (9.5% growth), though estimates revised down 1.23%. (Investing.com +2) Negative Earnings ESP of -1.86% suggests analysts recently turned bearish. (Nasdaq) Stock down 6.3% over 52 weeks underperforming sectors. (Yahoo Finance) Q2 saw stock fall 6-8% despite beating on slower H2 guidance. (Yahoo Finance) Discretionary travel exposure makes Airbnb highly sensitive to inflation pressures. Q3 guidance of \$4.02-\$4.1B (8-10% YoY) represents deceleration from Q2's 13%. (TipRanks) Expansion markets growing 2x core markets for 6 consecutive quarters with Japan +15% in Q3. (TipRanks) Key metrics include nights booked acceleration, Average Daily Rate indicating pricing power, and experiences attach rate (new experiences averaging 4.93 stars with 60,000+ host applications).

Wendy's reports Friday before open facing the bleakest outlook with consensus expecting \$0.19-\$0.21 EPS (down 13-20% YoY) and \$534.54-\$535.75 million revenue (down 5% YoY). (TipRanks +3) Earnings ESP of -3.99% combined with Zacks Rank #4 indicates extremely low beat probability. (Yahoo Finance) Stock catastrophically down approximately 50% YTD and down 19% in one month. Q3 same-store sales forecast to decline 5.8% worse than Q2's -3.6%. (CNN +2) Wendy's represents the primary inflation victim with low-income

consumer pressure most acute. (CBS News) (CBS8) Faces 1% commodity inflation (beef driven) plus 4% wage inflation. (Yahoo Finance) "Elevated position" focused on quality leaves it disadvantaged versus McDonald's price leadership. (CNN) February 2024 surge pricing announcement backfired amid inflation sensitivity. (Econeveryday) Announced "Project Fresh" turnaround October 9 under former Taco Bell CEO Greg Creed guidance. (CNN +2) Leadership chaos with CEO Kirk Tanner departed after 18 months, interim CEO Cook stepping in. (CNN +2) Bright spots include international segment at 8.7% systemwide sales growth and October 2024 SpongeBob collaboration driving 10% growth (highest since 2021 though not sustained). (TipRanks)

Big Tech and AI semiconductor earnings determine market trajectory

Palantir reports Monday after close with consensus expecting \$0.12-0.17 EPS (70-100% YoY growth) and \$1.083-1.1 billion revenue (50.4-50.7% YoY growth). (ig +2) Zacks Earnings ESP of -5.88% with Hold rating suggests lower beat probability despite strong fundamentals. (ig) (Yahoo Finance) Wall Street consensus HOLD with mean target \$156.29 as stock trades above indicating valuation concerns. (ig) (Yahoo Finance) Q2 showed first \$1B+ quarterly revenue (48% YoY) with Rule of 40 score at 94%, 46% adjusted operating margin, 57% free cash flow margin. (ig) (TipRanks) Major wins include \$10B 10-year U.S. Army contract, \$218M Space Force order, £1.5B UK defense deal. (ig) (24/7 Wall St.) Q2 bookings hit \$2.3B total contract value with 157 deals at \$1M+ including 66 at \$5M+ and 42 at \$10M+. (ig) (TipRanks) U.S. commercial revenue surged 93% (TipRanks) driven by AIP, though international commercial declined 3% YoY (major concern). (ig) Critical valuation concerns at 229.14X forward P/E versus industry 38.98X. (ig) (Yahoo Finance) Institutional selling with JPMorgan reducing position 32%, T. Rowe Price 24%. (24/7 Wall St.) Government shutdown may delay contract approvals. (ig) Stock up 151% YTD but dropped 25% in August after Citron questioned valuation. (ig) (Yahoo Finance) Key metrics: U.S. commercial growth trajectory, government vs commercial split (55:45), international commercial reversal needed, customer count expansion, and FY2025 guidance updates.

AMD reports Tuesday after close with consensus expecting \$0.97-1.17 EPS (27.6% YoY growth) and \$8.7-8.75 billion revenue (28% YoY growth). (TipRanks) (Money Morning) Rosenblatt maintains Buy with \$250 target expecting "modest beat-and-raise quarter." (Barchart) (FinancialContent) Consensus STRONG BUY (30 Strong Buy, 2 Moderate Buy, 12 Hold) with mean target \$253.70 (financialcontent) (slight 1.6% downside after rally). (Barchart) (FinancialContent) High beat probability given strong Q3 guidance and October OpenAI partnership announcement creating significant positive sentiment. Q2 showed \$7.7B revenue (32% YoY) beating estimates but EPS missed \$0.06 due to \$800M inventory charge from MI308 GPU export controls. (Barchart) (FinancialContent) Operating margin 43% in Q2 would have been 54% excluding charge. OpenAI multi-year GPU deal validates AMD as credible Nvidia alternative in AI inference. (financialcontent) (The Motley Fool) MI350 accelerator shipments beginning, MI450 launching 2026 as major catalyst. (financialcontent) (The Motley Fool) Data center revenue \$3.2B in Q2 (14% YoY), Client/Gaming surged 69% to \$3.6B on record Ryzen and gaming. (TipRanks) Stock explosive: up 117% YTD, 172% over 6 months, 62% past month, (financialcontent) 14% last 5 days post-OpenAI. (barchart) Now trading 102X trailing earnings (up from 40X) raises valuation concerns. (Money Morning) Key metrics: data center and AI accelerator adoption, MI350 ramp and margin contribution, export restrictions impact, EPYC

market share, ROCm software adoption vs CUDA, Q4 and full-year guidance, 2026 outlook commentary on "tens of billions" AI revenue target.

Super Micro Computer reports Tuesday after close (Wall Street Horizon) **amid existential corporate governance crisis following Ernst & Young auditor resignation.** (TipRanks) Consensus expects \$0.32-0.39 adjusted EPS (52.2% DECLINE from \$0.67 year-ago) and \$5.8-6.46B revenue. (Seeking Alpha) Company preliminary results indicated \$5.9-6.0B revenue (181% YoY) with \$0.75-0.76 EPS. (CNBC +2) Wall Street consensus HOLD (4 Strong Buy, 3 Moderate Buy, 9 Hold, 2 Strong Sell) with mean target \$48.64- (Yahoo Finance) 72.81 (wide range reflecting uncertainty). Ernst & Young resigned in October 2025 sparking massive selloff. (CNBC) Board special committee investigation found "no evidence of fraud or misconduct." Company must file delayed annual report by mid-November to avoid Nasdaq delisting. (CNBC) (TipRanks) Q1 FY2026 preliminary showed strong 181% revenue growth with improved margins to 13.3% (CNBC) from Q4's 11.2%. (Yahoo Finance) Cash flow strong: \$407M operating, \$365M positive free cash flow in Q1. (CNBC +2) However, \$2.3B debt (\$0.6B bank, \$1.7B convertible), \$5B inventory (85 days). (Yahoo Finance) Nvidia relationship critical: SVP confirmed "no changes to allocations" and "deepest of relationships" with strong Blackwell demand. (CNBC) CEO says "capacity is ready, but not enough new chips." Successfully deployed world's largest DLC AI SuperCluster. (Yahoo Finance) Stock catastrophic: down over 60% past 6 months, approximately 80% from March 2024 peak of \$118.81. (Yahoo Finance) Trading around \$50-52 range. Key metrics: new auditor appointment timeline and governance steps to avoid delisting, gross margin trajectory sustaining 13.3% improvement, Nvidia Blackwell allocation and revenue timeline, Q2 FY2026 guidance (preliminary \$5.5-6.1B revenue, \$0.56-0.65 EPS), customer concentration and additions, liquid-cooling adoption (2,000+ racks shipped), free cash flow and working capital.

Qualcomm reports Wednesday after close (1:45 PM PT / 4:45 PM ET) with consensus expecting \$2.86 non-GAAP EPS and \$10.75-10.77 billion revenue near midpoint of company guidance (financialcontent) **(\$10.3-11.1B revenue, \$2.75-2.95 EPS).** (TipRanks) (Markets Daily) Analysis "cautiously optimistic" expecting solid beat to "extend streak of quarterly beats." (FinancialContent) Consensus evenly split (15 Buy, 16 Hold, 1 Sell) with mean target \$182. (financialcontent) High beat probability given strong Q3 performance and momentum. Q3 FY2025 showed revenue \$10.37B beating \$10.33B consensus, EPS \$2.77 beating \$2.71. (TipRanks) QCT chipset \$9B, QTL licensing \$1.3B. (TipRanks) Automotive growth 21% YoY, IoT growth 24% YoY. (TipRanks) Record \$1B+ free cash flow. (TipRanks) Trading at attractive 18X GAAP trailing earnings (well below sector 32X median). (financialcontent) (FinancialContent) Recent developments include AI200/AI250 accelerators launched (shipping 2026/2027), (financialcontent) Alphawave acquisition expected Q1 2026, Saudi Arabia HUMAIN MOU for AI data centers, Xiaomi extended partnership for multiple flagship generations. (FinancialContent) On track for \$22B combined automotive and IoT revenue by FY2029. (financialcontent) (TipRanks) Arm-based PCs projected 50% market share in 5 years. Key metrics: QCT non-Apple revenue growth (targeting 15%+ full FY2025), automotive and IoT progress toward \$22B FY2029 target, handset market share and pricing, Apple modem relationship and revenue, AI accelerator customer adoption and hyperscaler pipeline, licensing stability at

approximately \$1.3B quarterly, Samsung handset relationship status. Stock up roughly 18% YTD (financialcontent) with 2% dividend yield providing downside cushion. AI transformation narrative gaining traction.

Arm Holdings reports Wednesday after close (2:00 PM PT / 5:00 PM ET) with consensus expecting \$0.33 non-GAAP EPS, \$0.13 GAAP EPS, and \$882.96M-\$1.06 billion revenue. (TipRanks) (Seeking Alpha) Company Q1 FY2026 delivered \$1.05B revenue (2nd highest quarter ever, 39% YoY) with \$0.35 EPS. (TipRanks) Q2 guidance \$1.01-1.11B revenue (25% YoY growth at midpoint). Zacks does not predict conclusive beat (Earnings ESP 0.00%, Rank #3 Hold). (Nasdaq) Wall Street concerned about stretched valuation (Nasdaq) (forward P/E 75.65X vs industry 38.13X). (Nasdaq) Beat history strong: all 4 trailing quarters (22.2% average surprise). (Futurum Group) (The Motley Fool) Q1 showed royalty revenue \$585M (up 25% YoY), licensing revenue \$468M, Armv9 at 25% of royalty revenue (up from 10% year ago), operating margin 38.6% non-GAAP. (TipRanks) Recent developments include Meta partnership optimizing Llama 3.2 LLMs for Arm CPUs with 5X prompt processing improvement via KleidiAI, Neoverse growth 40% YoY in enterprise data centers, Arm-based chips for hyperscalers approaching 50% market share, (TipRanks) Arm Ethos-U85 launched for Edge AI, doubled CSS licensees signed in FY2026, 300 billion cumulative Arm chip shipments milestone reached. (Arm Newsroom) Key metrics: Armv9 as percentage of royalty revenue trajectory (Q1: 25%), licensing revenue stability despite timing fluctuations, smartphone royalty growth vs units (Q2 FY25: 40% royalty on 4% units), data center and cloud wins and deployments, Compute Subsystems adoption rate, CSS royalty contribution starting, geographic revenue mix, full-year FY2026 guidance update, R&D investment levels. Stock explosive YTD: up 88.2%, (Nasdaq) up 28.1% over 3 months. (Nasdaq) Valuation concerns: forward P/E 75.65X needs 4+ years of 50% revenue growth to normalize. Analysts see 30.1% EPS growth, 18% revenue growth over 3 years, (Simply Wall St) ROE 22.3% forecast in 3 years. Sentiment: fundamentally strong but valuation stretched; "wait for pullback" view common.

High-interest stocks span healthcare, fintech, AI, and emerging technology

Hims & Hers Health reports Monday after close with consensus expecting \$0.09-\$0.10 EPS (down from \$0.32 YoY) and \$580-\$584 million revenue (up 44-45% YoY). (Yahoo Finance +2) Stock down 22% since last earnings, currently \$44-47. (Investing.com) Q2 beat revenue but missed EPS by \$0.01 (reported \$0.17 vs \$0.18 estimate). Serving 2.4+ million subscribers (up 31% YoY). (TipRanks) Just announced new GLP-1 "microdosing treatments" expanding weight-loss lineup. (Yahoo Finance) (TipRanks) Facing controversy: Novo Nordisk terminated partnership over alleged deceptive marketing. End of GLP-1 shortage creating regulatory and competitive headwinds. Competing with compounded semaglutide at \$1,200 for 6-month package. (Yahoo Finance) Mixed to cautious sentiment with stock down 28% over 3 months despite 80% YTD gain. High short interest at 33% of float. TD Cowen maintains Hold citing slowing GLP-1 demand vs H1 2025. (Investing.com) Zacks Earnings ESP -12.79% (negative) suggests low beat probability. (Yahoo Finance) (Nasdaq) Trading at 40.3x forward P/E. (The Globe and Mail) Bulls cite 2030 revenue target of \$6.5B and \$1.3B adjusted EBITDA. (TipRanks) Key metrics: GLP-1 demand trends and microdosing uptake, subscriber growth and

retention (looking for 2.4M+), ARPU stabilization around \$54+, core hims.com performance, regulatory concerns post-Novvo dispute, full-year guidance reiteration.

Uber reports Tuesday with consensus expecting \$0.62-\$0.63 EPS and approximately \$12.7 billion revenue.

(Kiplinger) Q2 beat with \$0.63 EPS vs \$0.62 estimate on \$12.7B revenue. First full-year profit achieved 2023 with strong trajectory continuing. Announced \$7-20 billion share repurchase plan. (Investing.com) Gross bookings projected to jump 15% in 2025 following 18% growth in 2024. Monthly active platform consumers expected to rise 8% to 185.3 million. (Nasdaq) Uber One membership grew 60% to 36M members with premium business exceeding \$10B (growing 35%). (Investing.com) Very positive sentiment: stock up 25% YTD outperforming Tech sector's -8% drop. 150% rally over past two years. Trading at attractive 26.9X forward earnings (near all-time lows, in line with Tech sector). Zacks Rank #2 (Buy). Projected 38% YoY earnings expansion in 2026. (Nasdaq) Key metrics: gross bookings growth trajectory, profitability margins and operating leverage, autonomous vehicle partnership progress, international expansion especially emerging markets, take rate trends across mobility and delivery, tariffs impact on operational costs.

Spotify reports Tuesday before open with consensus expecting \$2.27 EPS with analysts watching

subscriber growth and margin expansion. (Kiplinger) (TipRanks) Achieved first full-year profit in 2024. Swung from profit to Q2 2025 loss of €86M due to higher expenses and stock costs. (The Hollywood Reporter) Q2 showed 696 million MAUs (exceeding guidance by 7 million) with 268 million Premium subscribers (5M net adds Q1 2025). Over 100 million subscribers in Europe holding 45% global subscriber market share. (TipRanks) Strong user engagement: 30% (The Hollywood Reporter) increase in net subscriber additions H1 2025 vs H1 2024. Video podcast expansion: 430,000+ video podcasts, consumption growing 20x faster than audio, 350 million users streamed (up 65% YoY). AI features showing traction: Spotify DJ saw 45% increase in streams globally. Introduced Partner Program paying video creators based on watch time. Paid out \$100M+ to podcast publishers Q1 2025. Recent price increases supporting profitability. Strong positive sentiment: stock up 30% in 2025, 360% over two years. Recently hit all-time high \$785, market cap approximately \$160B. Trading at 55% discount to Tech sector with 0.7 PEG ratio. Zacks Rank #2 (Buy). Projected 72% earnings growth in 2025, 28% in 2026. Evercore ISI maintains "outperform" with \$750 target. Near-term risks: FX headwinds, social charges from stock run-up. Key metrics: net new subscriber additions (guidance suggested 5M Premium adds), MAU growth trends, advertising business performance (underperformed Q2 on execution challenges), gross margin and operating leverage trends, video podcast adoption and engagement, currency impacts from weakening USD.

Beyond Meat reports Tuesday after close with limited detailed consensus though revenue expectations around \$44-50M range based on Q2 trends.

Q2 beat with \$57.39M revenue (vs \$44.84M estimate) and (\$0.13) EPS vs (\$0.16) estimate. Struggling with profitability and negative margins persisting. Major development: completed exchange offer to eliminate over \$800M debt. Secured \$100M new senior secured financing from Ahimsa Foundation affiliate. Exchange resulted in 316+ million new shares issued (massive dilution). Lock-up restrictions released October 16, 2025. Expanding Walmart distribution to 2,000+ stores nationwide. Products now Clean Label Project certified. Partnership with Erewhon for Beyond Burger and

Beyond Beef. Highly negative sentiment: stock remains deeply depressed despite debt restructuring. Plant-based meat category facing significant consumer resistance. Massive share dilution from debt exchange creating overhang. Analysts cautious on category fundamentals. Survival concerns persist despite improved balance sheet. Market questioning long-term business model viability. Key metrics: revenue trends amid category headwinds, debt restructuring impact on financial flexibility, Walmart expansion results and retail performance, cost reduction progress, path to profitability timeline, consumer demand recovery in plant-based protein category.

Novo Nordisk reports Wednesday before open with consensus expecting \$0.77 EPS for Q3 2025 (Q2 actual \$0.91 EPS missed \$0.93 estimate on revenue \$11.7B missing \$11.8B). H1 2025 showed 18% sales growth, 29% operating profit growth (constant FX). Obesity care sales surged 58% driven by Wegovy. Serving 46 million patients with diabetes and obesity treatments (up 3.5M from H1 2024). Gross margin decreased to 83.4%. Strong balance sheet: DKK 26B cash, DKK 103B debt. Revised guidance: cut full-year 2025 outlook to 8-14% sales growth from higher expectations due to weaker US Wegovy sales and competition from compounders. Named Mike Doustdar new CEO (takes effect November). Ozempic received positive EMA opinion for peripheral arterial disease. Advanced amycletin into Phase III. Facing intense competition from Eli Lilly's Mounjaro/Zepbound. CVS made Wegovy preferred GLP-1 on national formulary starting July. Launched NovoCare direct-to-consumer platform at \$499/month. Cautious/negative sentiment: stock plummeted after July guidance cut, down significantly from peaks. Morningstar lowered fair value to DKK 458 from DKK 552. Wide moat rating maintained but near-term headwinds acknowledged. Competition concerns dominating narrative. Analysts watching Q3 for stabilization signs. Some see current valuation as fair with potential re-rating post-earnings. Long-term GLP-1 market potential (\$200B by 2031) remains intact. Key metrics: US Wegovy sales performance vs competitors and compounders, market share trends vs Eli Lilly, international sales growth (Europe showing 19% growth), pricing strategy and volume trends, new CEO strategic direction, pipeline progress on next-gen obesity drugs.

AppLovin reports Wednesday after close with consensus expecting \$2.34-\$2.37 EPS and \$1.34 billion revenue representing strong YoY growth. Q2 beat with \$2.26 EPS vs \$2.05 estimate though revenue \$1.26B slightly below \$1.37B estimate. Quarterly revenue up 77.1% YoY. Net margin 45.72%, ROE 252.67%. Full-year 2025 EPS guidance \$7, 2026 \$9. CEO dismissed Unity's Vector AI ad platform challenge citing superior data advantages. Sold games division for \$900M to focus on core ad tech. Strong momentum in AI-powered ad platform Axon. Planning to open Axon Ads Manager self-service portal on referral basis October 1, 2025. Expanding reach: claims 70% of top 1,000 mobile game studios use its tech. Reaches billions of consumers worldwide. Extremely bullish sentiment: stock surged from \$158 to \$745 (52-week range), currently approximately \$627. Market cap \$212B. Trading at 89x P/E, 3.49 PEG ratio. Multiple analysts raised targets: Piper Sandler to \$740, Jefferies to \$615. Consensus "Moderate Buy" with average target \$605. Some downgrades to Hold citing valuation concerns. Seen as major beneficiary of mobile gaming ad market growth. Strong track record beating estimates (9 of last 23 quarters). Key metrics: Axon AI platform performance and adoption, Software Platform segment growth (core ad business), gaming studio retention and new customer

acquisition, margin expansion trajectory, competition from Unity's Vector platform, international expansion progress, self-service platform rollout success.

Robinhood reports Wednesday after close with consensus expecting \$0.54-\$0.60 EPS (vs \$0.17 YoY) and \$1.22-\$1.27 billion revenue (up 90.8% YoY). Needham analyst John Todaro expects \$0.60 EPS, \$1.27B revenue. Strong growth trajectory driven by crypto price momentum. September metrics showed solid growth across platform. Expanding product portfolio significantly. Impressive growth anticipated off strong price charts. Product expansion into banking, futures, tokenized real-world assets, and prediction markets. Crypto trading volume likely strong given Bitcoin/crypto momentum in Q3. Benefiting from retail investor engagement in volatile markets. Furthest along among financial platforms in becoming comprehensive solution. Positive sentiment: analysts expect impressive growth. Needham sees platform expansion as key differentiator. Stock seen as major beneficiary of crypto bull market. Execution on product roadmap critical. Valuation considerations at elevated levels. Potential for significant earnings beat given strong crypto prices. Key metrics: crypto trading volumes and revenue contribution, Assets Under Custody growth, new product adoption rates (futures, prediction markets, RWA), Monthly Active Users and funded accounts growth, net interest income trends, competition from traditional brokerages, regulatory environment for crypto and prediction markets.

IonQ reports Wednesday after close with consensus expecting (\$0.20) EPS (loss) and \$27.0 million revenue. Q2 showed revenue \$20.69M (beat estimate by \$3.47M), reported (\$0.14) EPS normalized (in-line), (\$0.70) GAAP (missed by \$0.41). Revenue guidance increased for 2025. Operating expenses rising as company scales (Q2: R&D costs surged 231% YoY to \$103.4M). Received second NRC approval for 77-megawatt electric design—only company with two NRC approvals for SMRs. Recently acquired LightSync and Oxford Ionics to expand global presence. Integration success crucial for sustained growth. Q3 projected revenue \$25-29M. Full-year 2025 revenue guidance \$82-100M. Adjusted EBITDA loss expected up to \$211M. Positioned as leader in commercial quantum computing. Cautiously optimistic sentiment: quantum computing remains highly speculative. Recent acquisitions seen as strategic but integration risks exist. Revenue growth impressive but losses expanding significantly. Long-term potential in quantum computing drives interest. Near-term profitability not expected. Volatility expected as sector remains early-stage. Key metrics: revenue beat/miss relative to \$27M estimate, integration progress of recent acquisitions, customer pipeline and bookings growth, technology milestones and quantum advantage demonstrations, operating expense management and path to profitability, competition from IBM and Google in quantum space, commercial partnerships and use case development.

Unity Software reports Wednesday with consensus expecting \$0.17 EPS (vs loss of (\$0.07) YoY) and revenue growth expected, with Most Accurate Estimate at \$0.175 (Earnings ESP of +3.03%). Q4 2024 showed revenue down 25% YoY to \$457M but beat expectations, cut losses from \$254M to \$123M. Underwent major "portfolio reset" including layoffs. Cancelled controversial Runtime Fee. Create segment 31% of revenue (unchanged from 2019). Major announcement: launched Vector AI-powered ads platform to compete with AppLovin. CEO Matt Bromberg emphasizing "strengthening bond with community." Plans to leverage 70%

market share among top 1,000 mobile game studios. Vector platform aims to use Unity engine's "highly differentiated behavioral data." Increased subscription prices for Unity engine. Stock surged 36% after Q4 earnings beat. Targeting "measured growth" after restructuring. Cautiously optimistic sentiment: stock rallied 30-36% after Q4 beat, currently approximately \$29. Market cap \$11.68B (vs AppLovin's \$146B). Most Accurate Estimate above consensus suggests beat likely (ESP +3.03%). Zacks Rank #3 (Hold). Skepticism about Vector competing with AppLovin's entrenched position. Restructuring viewed positively but execution critical. Deutsche Bank initiated with Hold. Long rebuilding process expected. Key metrics: Vector AI ads platform adoption and early traction, Create Solutions (engine) segment performance, developer sentiment following Runtime Fee cancellation, competition with AppLovin's dominant Axon platform, cash flow and path to sustained profitability, market share retention in game engine market vs Unreal, pricing power on subscriptions.

SoundHound AI reports Thursday after close with consensus expecting (\$0.09) EPS (loss) and \$40.5 million revenue. Q2 2025 strongest quarter ever with \$43M revenue (up 217% YoY). Beat estimates: (\$0.03) EPS vs (\$0.07) estimate. Revenue beat: \$42.7M vs \$32.9M estimate. Stock jumped 21.92% in premarket after Q2 report. Strong balance sheet: \$230M cash, no debt. GAAP gross margin 39%, Non-GAAP 58%. Raised 2025 revenue guidance to \$160-178M. Targeting adjusted EBITDA profitability by end of 2025. Launched Amelia 7 agentic AI platform. Processed over 1 billion queries per month. Net revenue retention 120%+ (improved from under 90% pre-acquisition). Expanding across automotive (secured new OEM in China), restaurant (14,000+ locations), enterprise AI. Polaris model: 35% better accuracy, 4x better latency than peers. Named Leader in Everest Group's Conversational AI assessment. Partnership with Telarus for enterprise CX/EX landscape. Very positive sentiment: strong momentum after stellar Q2 beat. Stock valued at \$4.31B, trading around \$13. Price targets range \$8-\$18. 2025 guidance raise boosted confidence. AI voice assistant market seen as massive TAM. Integration of acquisitions successful. Near-term profitability target credible given trajectory. Some caution on competition from tech giants. Key metrics: revenue growth acceleration vs \$40.5M estimate, path to Q4 EBITDA profitability, customer acquisition across automotive/restaurant/enterprise verticals, Voice Commerce initiative progress and partnerships, AI agent deployment and adoption metrics, competition from larger tech companies, Polaris model differentiation and renewal rates.

NuScale Power reports Thursday at 5:00 PM ET with consensus expecting (\$0.13-\$0.14) EPS (loss) and \$11.3 million revenue. Q2 showed revenue \$8.1M (up from \$1M YoY, missed estimate of \$11.65M by \$3.6M). Reported (\$0.13) normalized EPS (missed by \$0.01). Operating expenses \$44.9M (up from \$42M YoY). Strong liquidity \$489.9M (including cash and investments). Debt relatively low given growth phase. Received second U.S. NRC approval for 77-megawatt electric SMR design—only company with two NRC approvals for small modular reactors. Partnership with Department of Defense: \$400M investment + \$150M low-interest loan. DoD becoming largest shareholder. \$110/kg price floor for NdPr products with upside sharing. Tennessee Valley Authority partnership: landmark 6-gigawatt SMR deployment program with ENTRAI. Supporting RoPower project in Romania. Global interest from Finland, Sweden. Anticipate order for power modules by end of 2025. Mixed sentiment: stock highly volatile, trading \$40-44 range (52-week: \$11-\$57). Market cap approximately

\$5.7B. Nuclear/SMR sector seeing renewed interest amid AI data center power needs. DoD partnership validates technology. Execution risks remain given early commercial stage. Some analysts suggest fair value around \$41-42. Recent analyst downgrades amid shareholder sales. Long-term bull case on clean energy transition and AI power demands. Near-term concerns about cash burn and timeline to meaningful revenue. Key metrics: revenue trajectory and project pipeline conversion, RoPower Romania project timeline and progress, TVA/ENTRA1 6-gigawatt program developments, operating expense management as company scales, DoD partnership execution, additional customer announcements and orders, regulatory approvals in international markets, manufacturing and supply chain readiness.

Iris Energy / IREN reports Thursday at 5:00 PM ET with consensus expecting \$0.15 EPS and \$241.67 million revenue. Q4 FY2025 record revenue \$187.3M (exceeded forecasts). Reported \$0.65 EPS vs \$0.18 estimate (267.85% beat). Net income \$177M. Cash reserves \$565M. No debt. Market cap approximately \$16B. Stock price approximately \$58-64 (52-week range: \$5.13-\$74.15). Major strategic pivot: expanding aggressively into AI cloud computing. Secured NVIDIA Preferred Partner status. Procured 1.2k air-cooled B300s + 1.2k liquid-cooled GB300 GPUs for approximately \$168M. Doubled AI Cloud capacity to 23k GPUs. Deploying 60,000+ NVIDIA GB300 GPUs planned. Targeting \$200-250M annualized AI cloud revenue by December 2025. Targeting \$500M+ AI Cloud ARR by Q1 2026. Closed \$1.0B convertible notes offering (0% interest, due 2031). Bitcoin mining: producing at approximately \$29,000 cash cost per BTC. Accelerating expansion to 50 Exahash in H1 2026. Highly bullish but volatile sentiment: stock up massively from \$5 to \$74 highs, now pulling back. RSI extremely overbought after parabolic move. Short-term technical signals suggest consolidation/pullback. Long-term bulls excited about AI cloud pivot and dual revenue streams. Bitcoin mining provides stable base, AI cloud offers explosive growth potential. NVIDIA partnership validates technology and scale. \$1B capital raise demonstrates institutional confidence. Valuation stretched but growth potential justifies premium for bulls. Some analysts see pullback to \$60 level as healthy. Key metrics: AI cloud services revenue ramp and contract signings, GPU deployment progress and utilization rates, Bitcoin production volumes and cost structure, balance of Bitcoin mining vs AI cloud revenue mix, customer pipeline for AI/HPC services, energy procurement costs (transitioned to spot pricing at Childress), competition in AI cloud infrastructure space, convertible notes dilution impact.

MP Materials reports Thursday at 5:00 PM ET with consensus expecting (\$0.15) EPS (loss) and \$49.7 million revenue. Q2 beat with (\$0.13) EPS vs (\$0.16) estimate. Revenue \$57.39M vs \$44.84M estimate (beat by 28%). Revenue up 83.6% YoY. Negative net margin -41.87%, negative ROE -9.34%. Debt-to-equity 0.83. Current ratio 3.60 (strong liquidity). Transformative deal: Department of Defense partnership: \$400M convertible preferred equity + \$150M low-interest loan. DoD becoming largest shareholder. \$110/kg price floor for NdPr products with upside sharing mechanism. Apple Partnership: \$500M+ in contracted magnet purchases starting 2027. \$200M in milestone-based prepayments from Apple. 6% sequential growth in NdPr oxide production. Record REO production at Mountain Pass. Magnetic segment revenue growth strong with commercial magnet production coming later 2025. Fort Worth facility construction progressing for rare earth metal, alloy, and magnet manufacturing. Positive with caution sentiment: stock surged on DoD/Apple news,

currently \$64-65 (52-week: \$15.56-\$100.25). Market cap approximately \$11.5B. Major strategic partnerships de-risk business model. Validates U.S. rare earth supply chain critical importance. China dominance in rare earths creates geopolitical premium. Near-term losses expected but long-term outlook transformed. Analysts maintaining Buy ratings with targets around \$69-77. Technical indicators show consolidation after massive rally. EV and defense applications driving long-term demand. Execution risk on Fort Worth facility and magnet production ramp. Key metrics: revenue performance vs \$49.7M estimate, NdPr oxide and metal production volumes, Mountain Pass mine production levels, Fort Worth facility construction timeline and startup, Apple partnership milestone achievement, DoD partnership execution and funding deployment, rare earth pricing environment (China dynamics), magnet manufacturing ramp timeline, operating losses and path to profitability.

Figma is NOT publicly traded and therefore does not have public earnings reports or a stock ticker. The Adobe acquisition deal was terminated in 2023 due to regulatory concerns, and Figma remains privately held.

Market outlook balances strong fundamentals against elevated valuations and political uncertainty

The base case for November 3-7, 2025 suggests moderately bullish markets with elevated volatility as multiple high-impact catalysts converge. The S&P 500 at 6,806 represents fresh all-time highs with 128 consecutive sessions above the 50-day moving average (4th longest streak in 50+ years). However, bearish divergences in MACD and RSI indicators show new price highs with lower relative highs, suggesting momentum is slowing. Key support levels exist at 6,800, 6,760 (October 8 high), 6,610 (lower channel band), 6,550 (50-day MA confluence), and critical support at 6,500. Resistance and targets include 7,000 (psychological level), 7,150 (if +4% November-December), with Bank of America targeting 6,666 by year-end 2025 and Ed Yardeni's 7,000 base case (30% meltup odds). JPMorgan revised its target to 6,500 from mid-year's 6,500.

Q3 2025 earnings scorecard through October 25 shows exceptional performance: 145 of 500 S&P 500 companies reported (29% completion) with 87% beating on EPS (above 5-year average of 78%) and 83% beating on revenue (above 5-year average of 70%). Revenue growth reached 7.0% YoY—highest since Q3 2022's 11.0%—marking the 20th consecutive quarter of revenue growth. EPS growth of 15.08% YoY represents the 9th straight quarter of earnings growth. Forward 12-month P/E stands at 22.7, above the 5-year average of 19.9 and 10-year average of 18.6. Companies missing earnings saw an average -2.9% price decrease (versus 5-year average of -2.3%), while companies beating saw less uniform rewards as markets become increasingly selective.

Looking forward, analysts project Q4 2025 through Q2 2026 earnings growth rates of 7.4%, 11.9%, and 12.8% respectively, with CY 2025 expecting 11.0% earnings growth and CY 2026 expecting 12-13% growth. JPMorgan's Bruce Kasman assigns 40% probability to U.S. recession in H2 2025, expecting GDP growth to "slow to subpar levels" through three tariff impact channels: front-loading reversal, tax effect, and sentiment shock. Morningstar's Dave Sekera notes the U.S. market trades at a 3% premium with "no margin for

error," expressing concerns about AI growth slowdown impact and many mega-cap AI stocks at or exceeding fair value.

Investment strategist perspectives converge on several key themes. Goldman Sachs' 2025 outlook titled "Keep On Truckin'" emphasizes U.S. Preeminence and Stay Invested remain key, with the gap between U.S. (2.8% 2024 growth) and rest of developed world (0.8% growth) continuing to widen. U.S. equities returned 25% in 2024 versus 12% MSCI EAFE and 14% MSCI EM. Goldman expects 10% total returns through end of 2025 with broadening market participation and focuses on quality, diversification, and active management. JPMorgan emphasizes corporate fundamentals expected to remain strong with high single-digit earnings growth 2025 reaccelerating to 12-13% in 2026, noting the Trump administration pivoted from hawkish to dovish policies. However, positioning is more moderate now versus two months ago with the "AI segment most important" — whatever happens to AI will decide S&P 500 fate.

Charles Schwab maintains "Marketperform" on ALL sectors adopted in April after global tariff policy, reasoning "until more stability and clarity on trade policy, challenging to assess sector impact." The firm notes a bullish technical setup with S&P 500 at fresh all-time highs but concerns about bearish divergences in MACD and RSI momentum indicators. Bank of America notes S&P 500 historically gains in 59% of Novembers since 1927 (average +1%) with year-end target range of 6,666 by end of 2025 and 2026 growth of 8% expected. Top sectors include Tech (AI-driven), Healthcare (demographics), and Industrials (infrastructure). T. Rowe Price observes market leadership broadening in 2025 with spread of earnings growth between large tech and other sectors narrowing, making value sectors more competitive again with Europe and India standing out as European equities appear attractively valued.

Sector rotation shows recent leadership changes INTO Consumer Discretionary, Communication Services, Financials, and Energy while rotating OUT OF Technology after 36% gain in 2024. The "offense over defense" trend since early August shows "things you want" (Consumer Discretionary XLY) outperforming "things you need" (Consumer Staples XLP). No sector maintained top position for more than 2 weeks in fan quilt analysis, with Energy in first place for 3 two-week periods (most of any sector) despite being one of worst YTD performers. Leadership has been "whipsawing" throughout 2025. Technology remains in the "Improving" quadrant on RRG charts driven by software and semiconductors, though AI spending growth is "increasing at a decreasing rate" creating concerns. Energy appears attractive with oil at \$57.58 (rebounded 8% late October from 5-month low) and WTI trading mid-60s range. The "Cheapskate Sector Strategy" identifies energy as most undervalued S&P sector benefiting from 25% tariffs on Canadian/Mexican energy.

Critical risk factors for the coming week include the Supreme Court challenge to IEEPA tariff legality scheduled for first week of November 2025 that could fundamentally alter Trump's tariff authority. Current average effective U.S. tariff rate stands at 17.9% as of September 2025 (down from April peak of approximately 27%)—the highest since 1930s Great Depression era. Trump-Xi meeting outcome from October 31 produced the one-year framework with all agreements structured for annual renewal: China trade truce, rare

earth pause described as "very routinely extended," port fee suspensions for one year, and Section 301 pause for one year. However, structural tensions remain with semiconductor export controls unchanged, technology transfer issues unresolved, intellectual property enforcement lacking, market access asymmetries persistent, and Taiwan policy implications unclear.

Labor market concerns intensify with ADP showing -32,000 jobs in September (far worse than expected) and government shutdown meaning missing critical payroll data. Consumer confidence sits at 5-month low on job concerns with potential for "growth scare" if labor data weakens further. Geopolitical risks persist with Middle East tensions (Israel-Iran conflict escalated June 2025), Ukraine-Russia war remaining unresolved, and the government shutdown (day 24+) affecting operations and data. Technical/market structure risks include extreme market concentration with top 10 stocks representing approximately 40% of S&P 500, Magnificent 7 dependency accounting for 41% of S&P 500 gains in 2025, valuation concerns with S&P 500 at 3% premium to fair value (only traded higher 15% of time since 2010), high institutional positioning after recent rally, and elevated sentiment with 128 consecutive sessions above 50-day MA.

Positive offsetting factors include the "Fed Put" with market confidence in Fed intervention if needed, corporate earnings resilience with 57% of companies reiterating guidance during peak tariff uncertainty, buyback support as corporates and retail absorbed \$400 billion in stock during April selloff, FOMO factor keeping stocks elevated, and year-end seasonality with November historically the best month (59% win rate since 1927, +1% average). Edward Jones notes bull market strength underpinned by resilient consumer, rising profits, and Fed easing, though year 3 of bull market may not be as smooth with returns likely moderating and volatility picking up. Recession, Fed hikes, or external shock typically end bull markets—none appear on the horizon currently.

Risk assessment identifies three primary scenarios for market direction

Bull case triggers include mega-cap tech earnings exceeding expectations from the October 29-30 reports, Trump-Xi reaching substantive trade agreement beyond the one-year framework, Fed signaling additional cuts ahead despite Powell's hawkish October 29 messaging, and strong economic data dispelling growth concerns. Under this scenario, markets could reach the 7,000-7,150 range on the S&P 500 with the reflation trade supporting cyclicals outperforming, rate cut expectations potentially delayed, and USD strength persisting. This scenario carries approximately 25-30% probability given elevated expectations heading into the week.

Base case (most likely, 60-70% probability) suggests moderately bullish markets with elevated volatility driven by the Fed rate cut positive effect, mixed earnings aftermath from mega-cap tech creating sector-specific reactions, and Trump-Xi meeting outcome providing temporary relief but structural issues unresolved. Expected S&P 500 range of 6,550-7,000 with support at key technical levels holding. This environment favors tactical traders over passive holders in the near term, benefits quality companies with pricing power and U.S.-centric exposure, and sees healthcare, industrials, and energy as tactical sectors. Year-

end seasonality provides tailwind while VIX at subdued 16 level suggests complacency creating potential for volatility spikes.

Bear case triggers (15-20% probability) include disappointing tech earnings revealing AI monetization challenges, trade talks breaking down with new tariff threats emerging, Fed signaling slower easing pace than markets anticipate, and weak labor market data confirming growth concerns. Under this scenario, markets could test 6,500 support with potential breakdown to 6,250-6,000 levels. Flight to quality would favor defensive stocks, Treasuries, and gold. Small-cap Russell 2000 showing most tentative technicals could lead downside. This scenario becomes more probable if JOLTS on Tuesday shows sharp deterioration (below 7.0 million) or ISM Services remains in contraction (below 50.0).

CONCLUSION: Walking the tightrope between AI-driven growth and valuation reality

The week of October 27-31, 2025 crystallized the central tension facing markets: exceptional corporate execution and AI-driven growth narratives colliding with stretched valuations, policy uncertainty, and questions about sustainability. The Federal Reserve's 25 basis point rate cut provided expected support, but Chair Powell's hawkish pivot—characterizing December cuts as "far from a foregone conclusion"—and his "driving in the fog" metaphor captured the uncertainty created by the 30-day government shutdown eliminating critical GDP and PCE data. His extensive commentary on AI revealed dual concerns: defending tech valuations against bubble comparisons while acknowledging that "job creation is pretty close to zero" after adjusting for statistical overcounting, with companies increasingly "talking about AI and what it can do" when announcing layoffs.

Big Tech earnings delivered a masterclass in market selectivity: Alphabet soared 5% as the only company to cross \$100 billion quarterly revenue with Cloud backlog surging 82% YoY, Amazon jumped 10-13% on AWS reaccelerating to 20.2% growth (fastest since 2022), while Meta plunged 11% despite 26% revenue growth due to a \$16 billion tax charge and "notably larger" 2026 CapEx guidance. The combined \$446-450 billion in 2025 CapEx from just five companies—representing approximately 1.8% of U.S. GDP—creates near-term inflationary pressure through data center construction, semiconductor demand, energy infrastructure investment, and AI talent competition. However, all five companies improved operating margins despite heavy investment, suggesting long-term productivity gains could overwhelm near-term costs. This transitional period validates the Fed's data-dependent approach as the timing of when productivity benefits materialize versus when investment costs peak will determine inflation trajectory.

The APEC Summit produced a one-year trade truce reducing U.S.-China tariffs from 57% to 47% and pausing rare earth export restrictions, but expert skepticism about sustainability was immediate. Einar Tangen dismissed the tariff reduction noting "tariffs 30 percent or above effectively end trade," while the shorter-than-expected 1 hour 40 minute Trump-Xi meeting suggested limited breakthrough scope. Trump's bilateral deals with South Korea (\$350 billion) and Japan (\$550 billion) reduced tariffs to 15% and secured

technology cooperation, but all agreements carry one-year terms with annual renewals creating persistent policy uncertainty. The Supreme Court challenge to IEEPA tariff legality scheduled for early November could fundamentally alter Trump's trade authority.

Looking ahead to November 3-7, 2025, markets face a critical gauntlet: JOLTS on Tuesday providing the only reliable labor market snapshot amid the data blackout, ISM Services PMI on Wednesday testing whether the September contraction was aberration or trend, Wednesday's FOMC meeting delivering the expected 25bp cut but guidance mattering far more than the decision, and over 40 major earnings reports spanning inflation-sensitive consumer names to cutting-edge AI semiconductor companies. The setup favors neither bulls nor bears decisively, but rather demands tactical positioning with quality focus, diversification beyond the Magnificent 7 as market leadership broadens, and using pullbacks as buying opportunities given year-end seasonality support. The VIX at 16 suggests complacency, while bearish MACD and RSI divergences warn that the 128-session streak above the 50-day moving average cannot persist indefinitely.

The fundamental question for investors is whether current valuations at 22.7x forward earnings with the S&P 500 trading 3% above fair value accurately price the transition from AI investment phase to AI productivity phase. Bulls emphasize solid 11-13% earnings growth expected for 2025-2026, Fed easing cycle providing tailwind, corporate fundamentals remaining resilient with 87% beating earnings expectations, and transformative AI productivity gains justifying premium valuations. Bears counter that market concentration at 100-year highs with top 10 stocks representing 40% of market cap, AI spending growth "increasing at a decreasing rate," persistent inflation requiring slower Fed easing, and structural trade tensions unresolved by one-year frameworks all suggest correction risk. The intermediate-term trend remains bullish as long as key support at 6,550-6,500 holds and earnings/economic data don't significantly deteriorate, but the near-term setup demands respect for elevated volatility as expectations meet reality.

Recommended positioning emphasizes maintaining equity exposure (staying invested is critical), diversifying beyond Mega 7 as market broadening accelerates, focusing on quality companies with pricing power and U.S.-centric operations, tactically favoring Healthcare, Industrials, and Energy sectors, considering small-cap opportunities given attractive valuations after underperformance, using pullbacks as buying opportunities supported by year-end seasonality, and monitoring VIX for complacency shifts. Critical monitoring points for November 3-7 include Wednesday's FOMC decision and guidance, Thursday's initial jobless claims and potential Q3 GDP release if shutdown ends, any Trump administration trade announcements, mega-cap tech earnings reactions spillover effects, Treasury yields and dollar movements signaling Fed expectations shifts, and oil prices reflecting geopolitical sensitivity. The bull market that began in October 2022 enters its third year supported by resilient fundamentals, but walking the tightrope between AI-driven exceptionalism and valuation reality requires both conviction in long-term trends and tactical nimbleness for near-term volatility.